



Legal Basics for BioMed Ventures

UZH BioEntrepreneurship Program

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MLL Legal AG



Legal Basics for BioMed Ventures

Learning objectives:

1. Acquire relevant knowledge of **intellectual property**, e.g. patents, brands and trademarks.
2. Select and explain topics related to **life science regulations**, e.g., Swissmedic or Food and Drug Administration (FDA) requirements.
3. Understand business **rights and responsibilities**, as well as labor and **employment law**.
4. Be aware of the importance of **data protection and data security** and act accordingly.
5. Classify and evaluate international papers and practical examples.

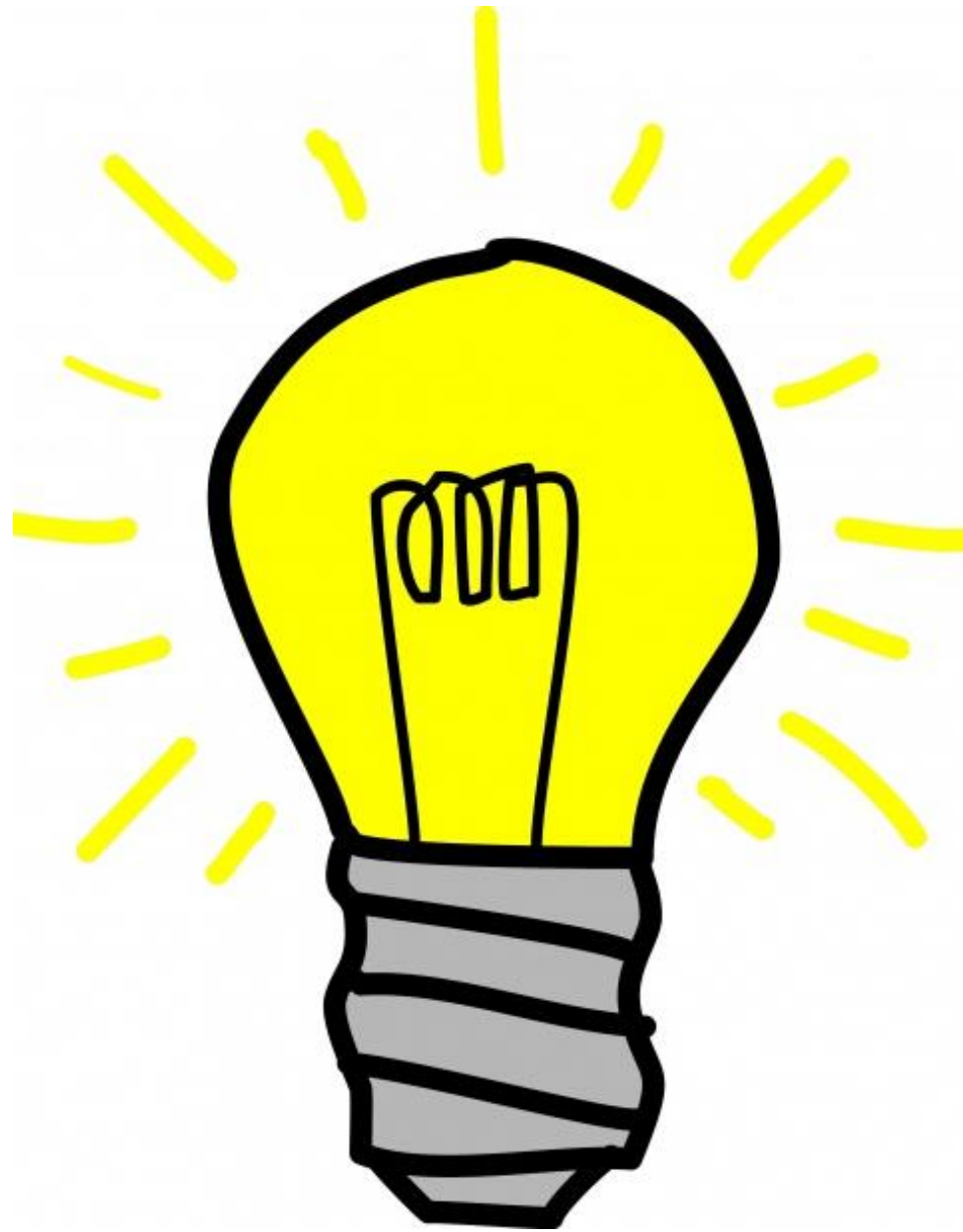
Agenda

1. Protect your ideas
2. Set up a company
3. Employment law
4. Commercial contracts
5. Life science regulations
6. Data protection and data security



1. Protect your ideas

What are
intellectual
property
rights?



Patents

- A legal certificate to protect your invention
- Granted
 - On application
 - For a territory (Switzerland, UK, USA)
 - If the criteria are fulfilled: The invention must be new, not obvious and capable of solving a technical problem
- Mere ideas cannot be patented
- You can stop others from using your invention for up to 20 years
- Expensive to apply for, to maintain and to enforce
- You can sell or license your invention

Patents are published and searchable

United States Patent [19]
Christiansen et al.

[11] Des. 253,711
[45] Dec. 18, 1979

[54] TOY FIGURE

[75] Inventors: Godtfred K. Christiansen; Jens N. Karsdén, both of Billund, Denmark

[73] Assignee: Interlego AG, Baar, Switzerland

[**] Term: 14 Years

[21] Appl. No.: 877,800

[22] Filed: Feb. 14, 1978

[30] Foreign Application Priority Data

Aug. 28, 1977 [DK] Denmark 650

[51] Int. Cl. D21-01

[52] U.S. Cl. D11/166

[58] Field of Search D34/4 R, 15 AD, 15 GG; 46/151, 161, 164, 163, 22

[56] References Cited

U.S. PATENT DOCUMENTS

D. 247,054 1/1978 Rahenstorf D34/4 R
D. 248,178 6/1978 Tapdrup D34/4 R

4,103,451 8/1978 Kawada 46/164

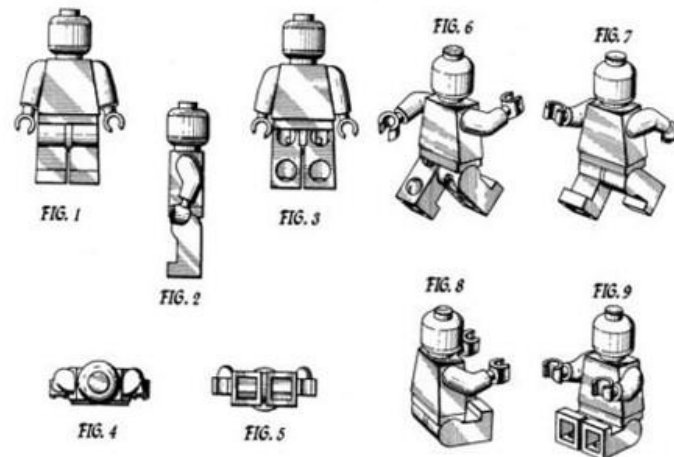
Primary Examiner—Melvin B. Feifer
Attorney, Agent, or Firm—Davidson C. Miller

[57] CLAIM

The ornamental design for toy figure, as shown.

DESCRIPTION

FIG. 1 is a front elevation view of the toy figure, showing our new design.
FIG. 2 is a side elevation view of the toy figure.
FIG. 3 is a rear elevation view of the toy figure.
FIG. 4 is a top plan view of the toy figure.
FIG. 5 is a bottom plan view of the toy figure.
FIG. 6 is a rear perspective view in one position of the toy figure.
FIG. 7 is a front perspective view in the same position of the toy figure.
FIG. 8 is a rear perspective view in another position of the toy figure, and
FIG. 9 is a front perspective view in the same position of the toy figure.



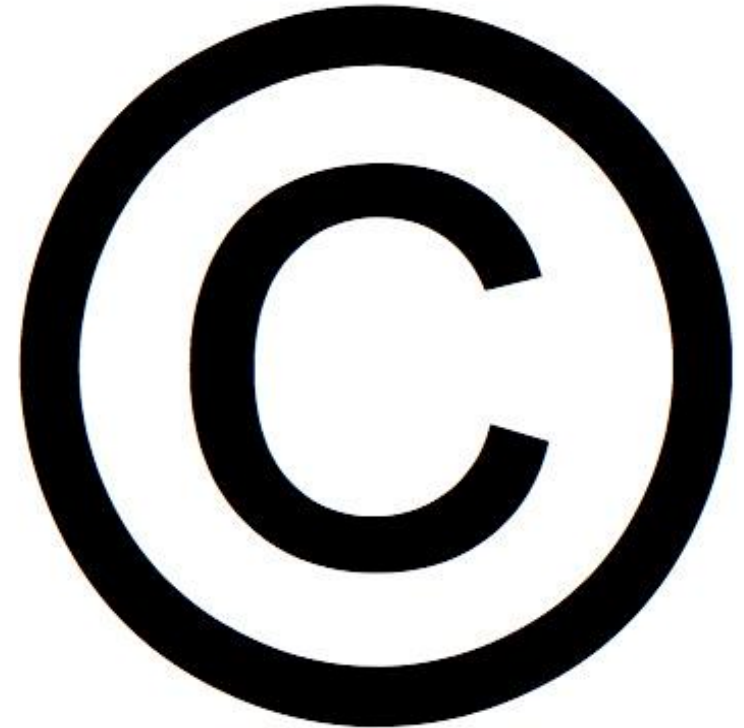
Trade Secrets

- Inventions can be protected by keeping them secret
- No application and maintenance fees; no ownership
- Once they are no longer secret, they lose their value
- Need for confidentiality agreements (NDAs)
- Expensive to enforce trade secret rights
- Difficult to convince investors of value



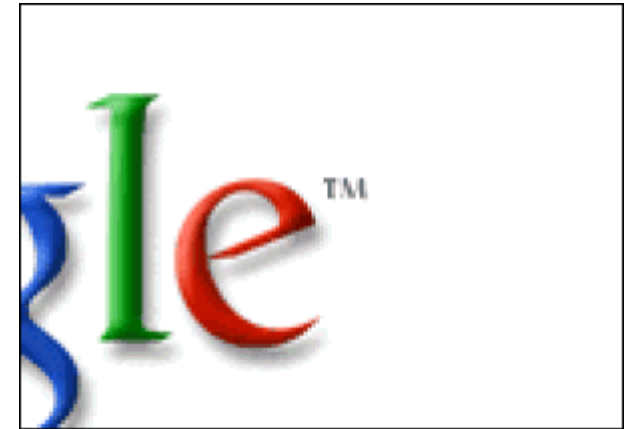
Copyright

- Protects the expression of creative, intellectual or artistic ideas
... and software
- Automatic protection, no need to apply
- The work is protected
 - for most works, for 70 years after the death of the creator
 - for software, for 50 years after creation
- Copyright is a relatively weak right – it only protects against copying, not independently developed works



Trademarks

- Protect words, phrases and logos used in the marketplace
- Granted for a territory (Switzerland, EU, UK, USA)
- Protection is given for 10 years at a time, renewable indefinitely
- The trademark must be distinctive and not descriptive
- You can prevent others using confusingly similar trademarks
- You can sell or license your brand



Data

- Personal data is protected for the benefit of individuals
 - Personal data = data relating to an identified or identifiable person
 - Data protection law puts obligations on those responsible for the data (data controller) and those processing the data (data processor)
- Database rights (EU) or unfair competition may protect a work result consisting of a data collection
- Data that is a trade secret has some statutory protection, but is better protected by contractual obligations (non-disclosure agreements, NDAs)
- Reports containing data are protected by copyright

NDA review exercise



2. Set up a company

Advantages of a company

- Attracting funding and investment
 - Engaging employees
 - Limited liability
 - Taxes
-
- Disadvantages?

Structure of a company

Documents

- Articles of association
- Shareholders agreement
- Organisational rules

People

- Shareholders
- Board of directors
- Management
- Employees

GmbH or AG: Where are the differences

- Starting capital
- Owners
- Management
- Anonymity
- Share or quota transfers
- Liability

Good Governance is Important

- What is good governance
 - Accountability and transparency
 - Clear systems and processes
- Implementing internal governance involves at least a clear delineation of the following:
 - Individual roles and responsibilities of founders
 - Scope of work
 - Payment schemes for founders and employees
 - Agreement on crucial business processes (e.g. recruitment, procurement, and business development)

Good Governance means Good Documentation

- Annual shareholders meeting
- Minutes of board meetings
- Copies of contracts
- HR records
- Record of data processing and data breaches

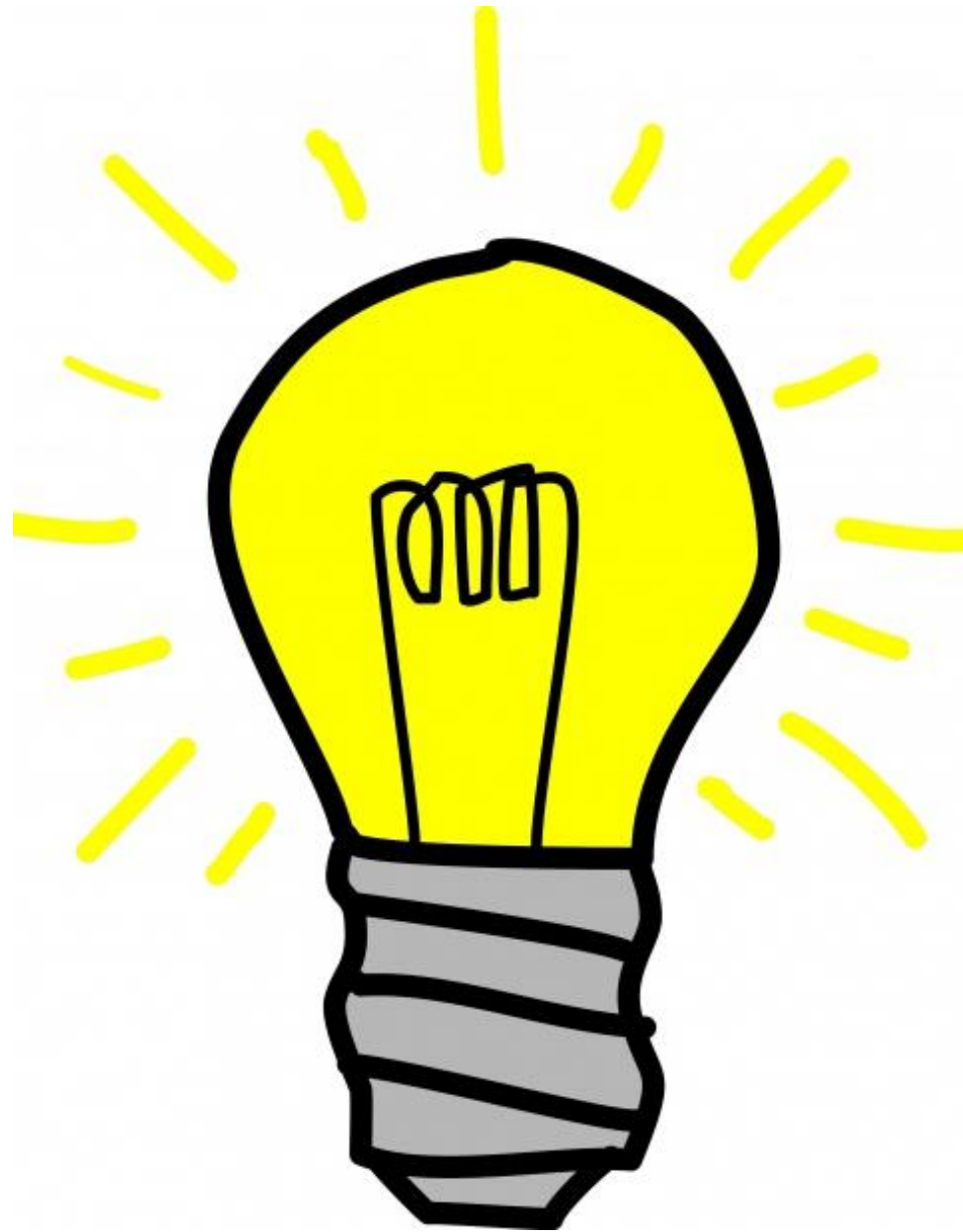


3. Employment Law

Employees

- Responsibility to care for employees
- Duty of employees – obligation of loyalty towards employer
- The law regulates:
 - working hours and overtime
 - holidays
 - sick leave
 - termination notice periods
 - social security and pension contributions
 - ownership of work results
- **NB: Freelancers will often be considered employees**

Ownership of intellectual property rights



Patents

- The inventor has the right to apply for a patent
- If the inventor is an employee, the employer company may have the right to apply for a patent

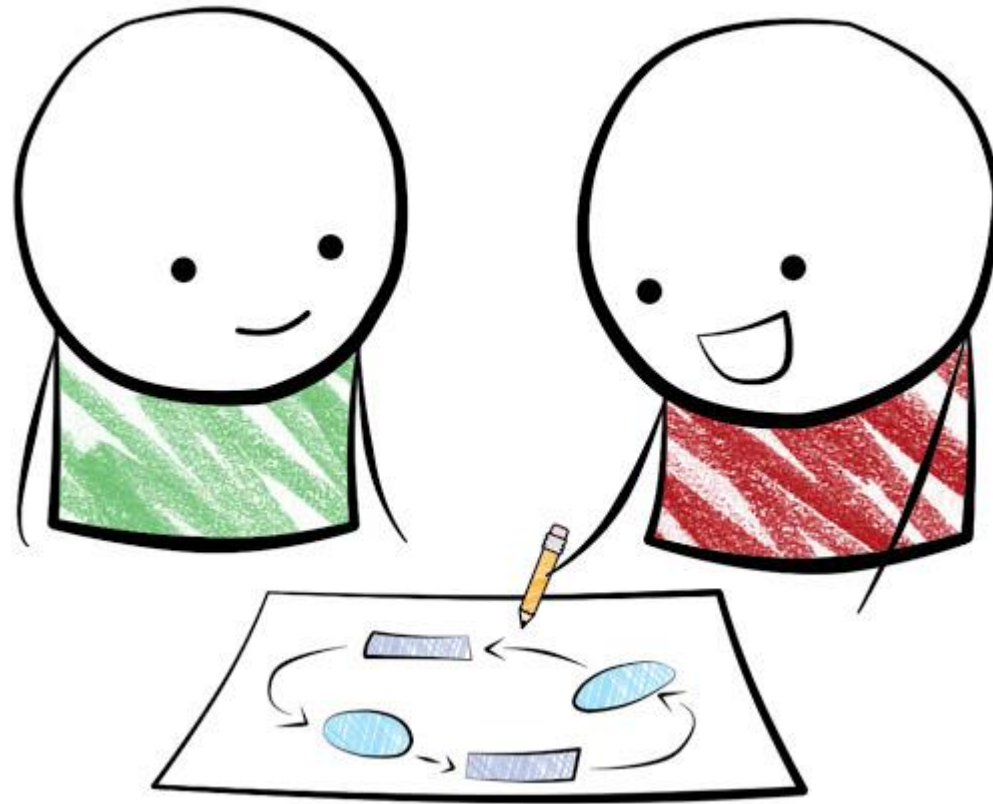
Circumstances of invention	Ownership
Contract invention	Employer owns the invention
On the job invention	Employee owns the invention, but the employer may have the right to be notified of the invention and to acquire it
Free invention	Employee owns the invention outright

- If there is more than one inventor, they may be joint owners of the rights in the invention, including the right to apply for a patent

Copyright

- The author owns the copyright, not the employer
- If the author is an employee, the employer company may have the right to use the copyright protected work
- For individuals employed to write software, the employer will own the copyright in the software
- To avoid disputes, make sure ownership of copyright is regulated in the employment agreement

IP Ownership Problem



4. Commercial Contracts

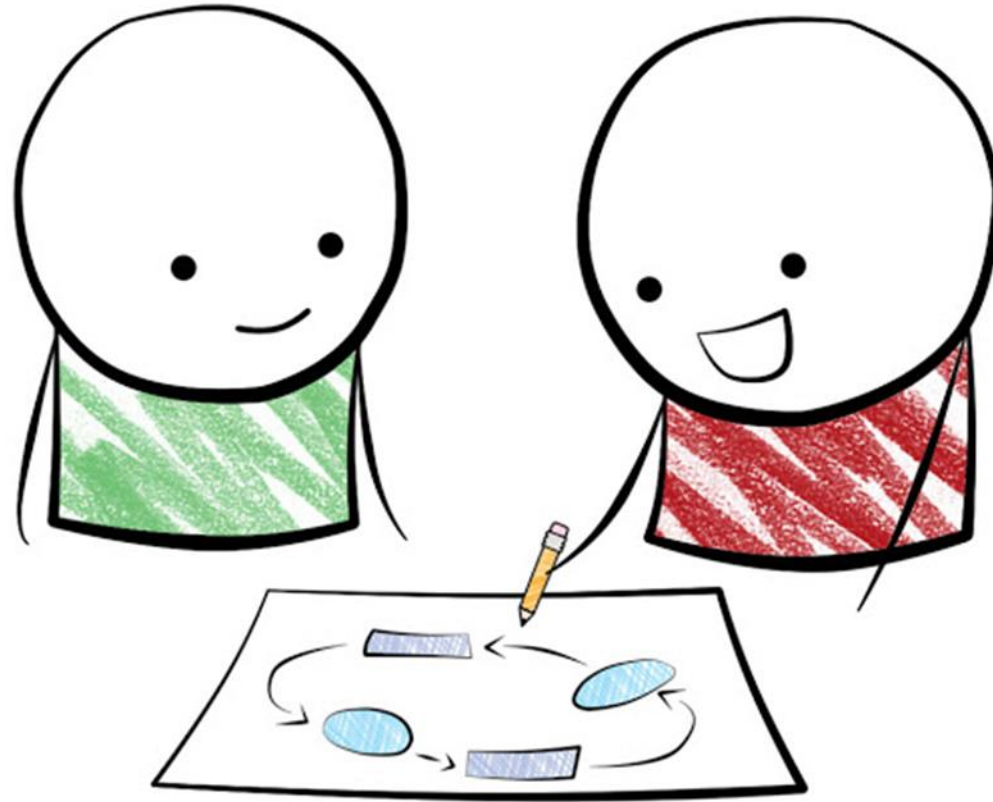
Practical tips for contract drafting

- Put your agreements in writing
- Be clear about the parties to a contract
- Make sure the parties' names are correct
- Check who can sign
- Don't forget the date

Practical tips for contract drafting (2)

- Be careful with templates
- Avoid ambiguous wording
- Use definitions consistently
- Be careful with mark-ups
- Keep good contract records

10 practical tips for contract drafting



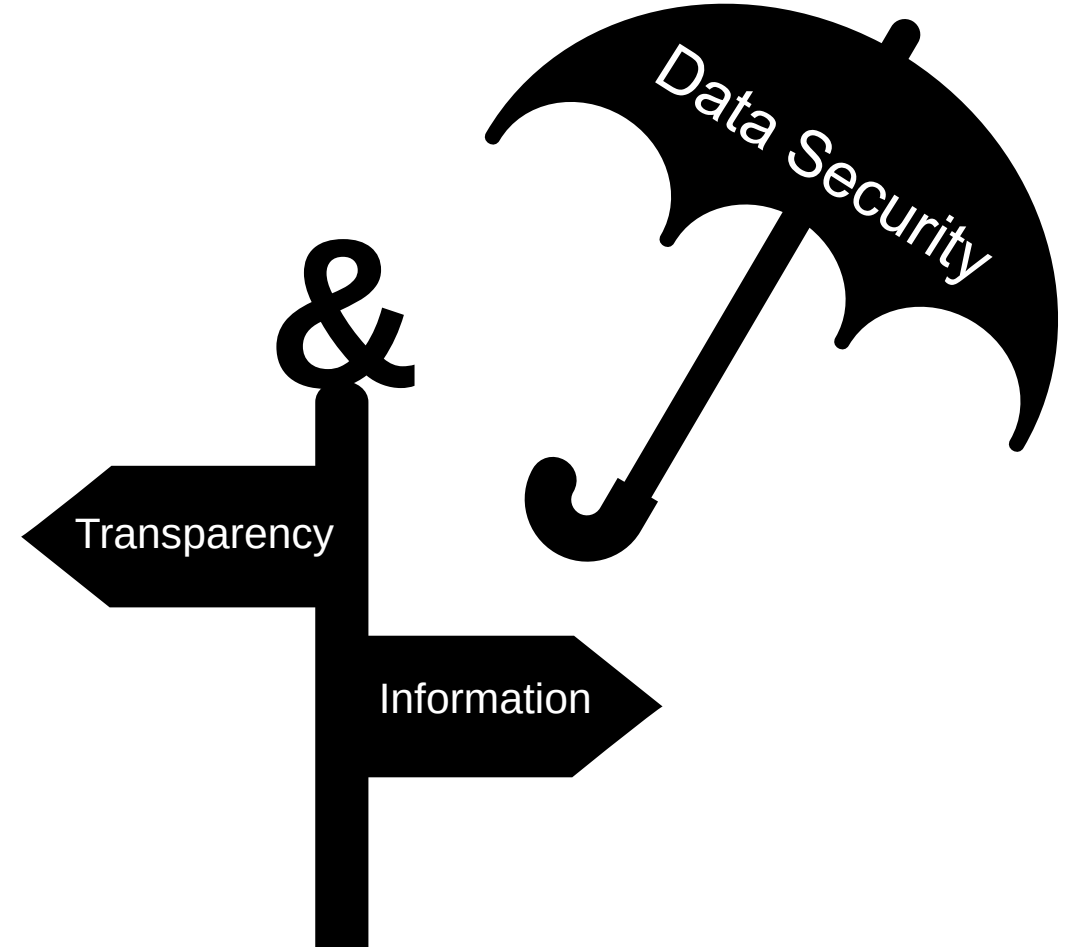
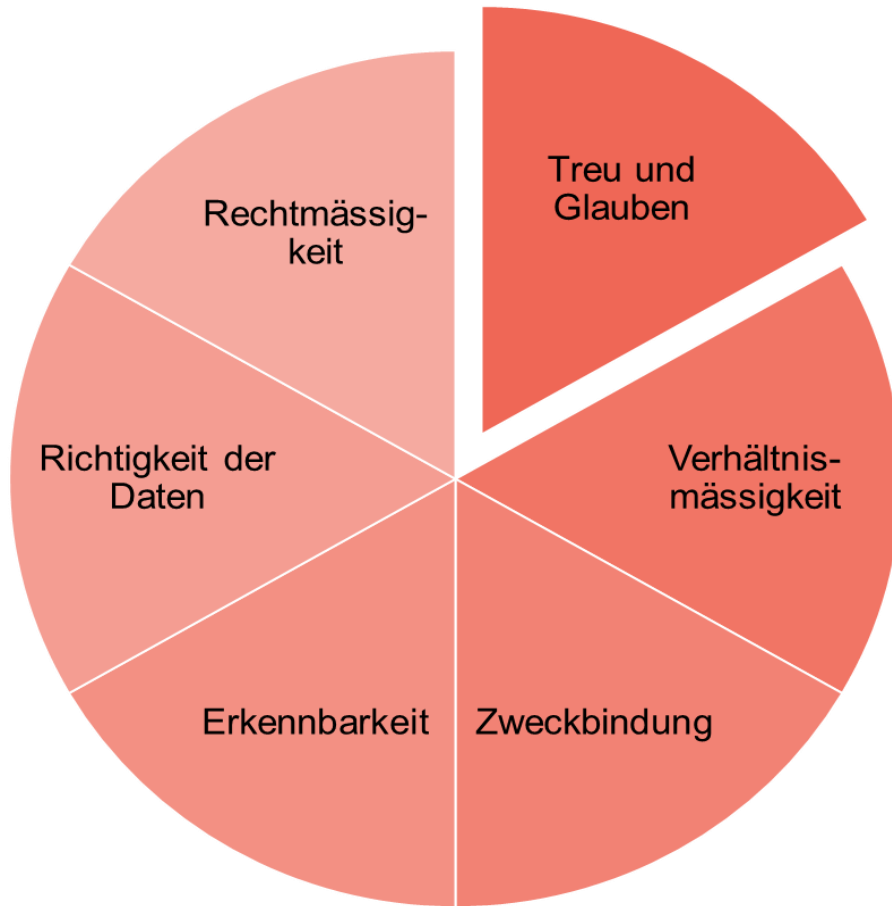
5. Life Science Regulations

Life Sciences Regulations

- Sources of rules: Laws, regulations, industry self-regulation
- Pharmaceuticals
 - Regulation of research on humans (Human Research Act)
 - Clinical trial regulations
 - Drug admission procedures
 - Drug marketing and advertising
 - Market surveillance
- Medical Devices
 - ...including software / apps with a specific medical purpose, e.g. diagnosis, prognosis, treatment...
 - Compliance assessment and certification (CE marking)
 - Risk categories

6. Data Protection and Data Security

Data Protection Regulations



Data Protection Regulations

- Protection through technical and organizational measures
- Legal obligations of the data controller and data processor
 - Limits to the purpose for which the data can be used
 - Limits on transfers of the data to others
 - Limits on transfers of the data to countries that do not have an adequate level of protection
 - Limits on how long data can be retained
 - Rights of data subjects
- Health data is sensitive data, which requires special care
- Fines for non-compliance + reputational risk

Cybercrime in Figures

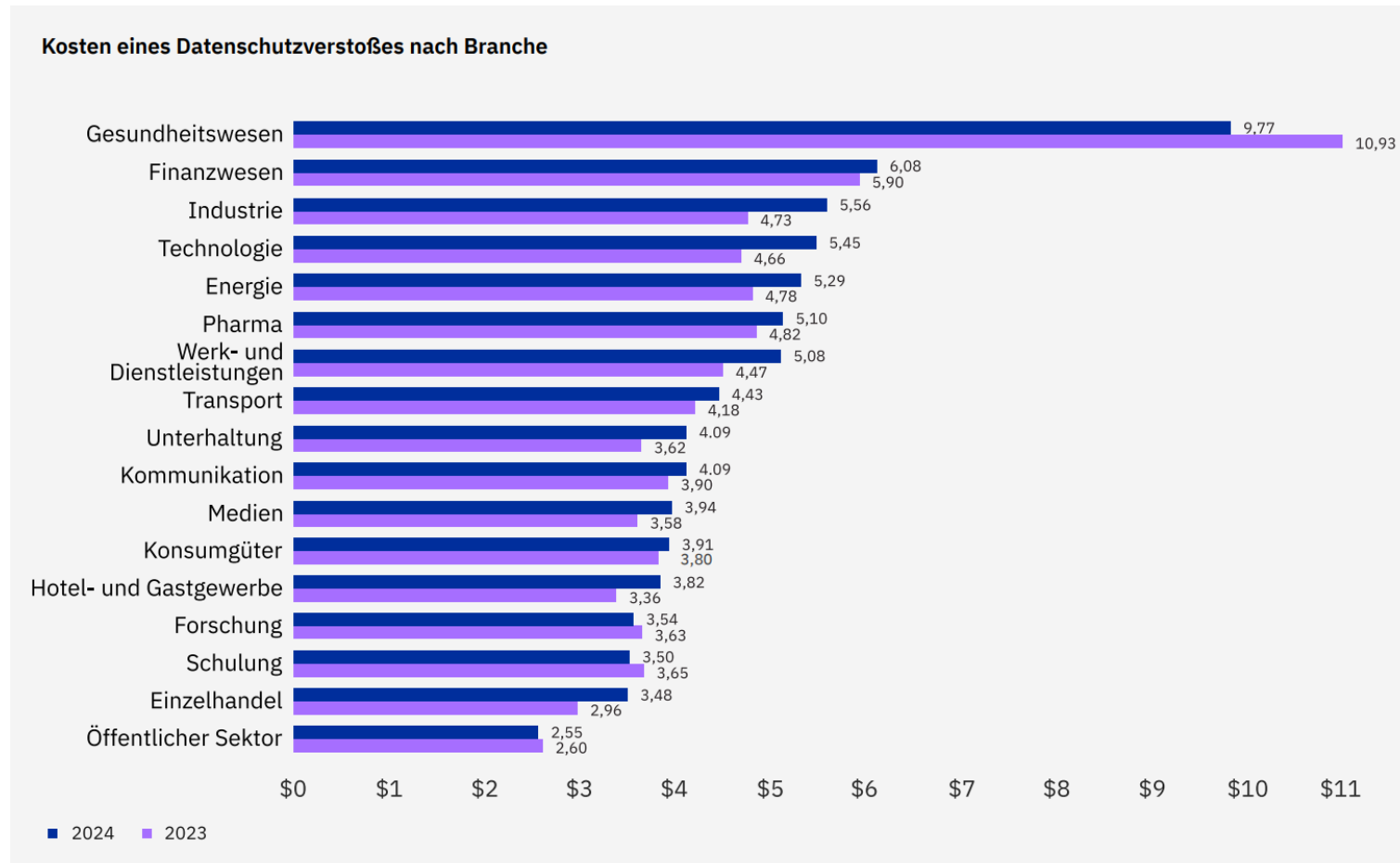


Abbildung 3. Angaben in Mio. US-Dollar

Information taken from the IBM report “The Cost of a Data Breach 2024”
available at: <https://www.ibm.com/downloads/cas/OJLZOEMZ>

Data Security

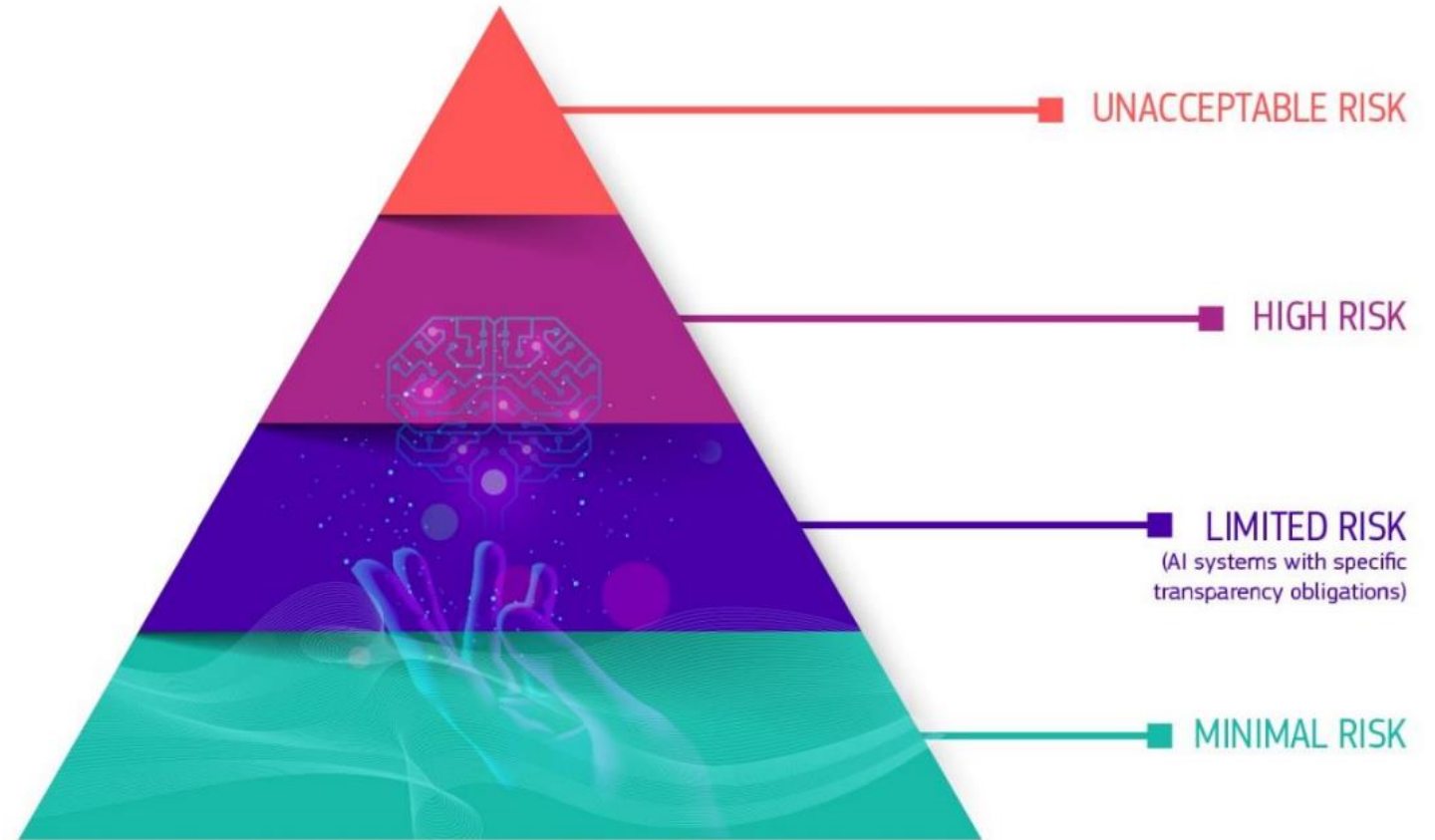
- Set up a crisis group and procedures to be ready for a breach
- Technical:
 - Appropriate standards of technical data security
 - Identify and limit breach
 - Reinstate data
 - Long-term steps to prevent recurrence
- Legal
 - Obligations to notify authorities, affected individuals, contract partners
 - Possible liability claims
- Communications

Artificial Intelligence

Ownership	Fairness	Data Protection
Ownership of input	Anti-discrimination rules, e.g. in employment law	Data privacy
Ownership of output • Copyright in a machine-produced work?	Transparency Decision review rights Audit e.g. EU AI Act	Data security

EU AI Act

- The Act is based on a pyramid of criticality
- AI medical devices are classified as **high-risk** and require the intervention of a notified body that assesses the conformity of the device
- Throughout the device life-cycle, there must be transparency and monitoring



From "EU Artificial Intelligence Act: The European Approach to AI" by Mauritz Kop
<https://futurium.ec.europa.eu/>



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All the best for all your ventures!

